

CHAPTER 5

Investing over the Life Cycle

Chapter Summary

Labor income is an asset, and for young investors the value of labor income usually dominates the rest of their financial holdings. An investor's mix of assets changes as her labor income evolves over her life cycle, and an investor whose labor income is bond-like should reduce his holdings of equities as retirement approaches. While economic theory suggests annuities are ideal for retirees, few hold them.

1. Employees' Retirement System of Rhode Island

The State of Rhode Island and Providence Plantations, or Rhode Island for short, is the smallest of America's fifty states.¹ Although often overshadowed by its larger neighbors, Massachusetts and Connecticut, people in Rhode Island (there are only slightly more than a million of them) have a reputation for wanting to do their own thing and doing it first. Rhode Island was the first of the thirteen colonies to declare independence from Great Britain on May 4, 1776—beating the other colonies by two months. When President Abraham Lincoln asked the Union states to send soldiers to fight in the Civil War, Rhode Island was the first to enthusiastically respond. And in 2011, Rhode Island became the first state to undertake a regime-changing reform of its public pension plan.

The Employees' Retirement System of Rhode Island (ERSRI) provides retirement, disability, and survivor benefits to public employees including state workers, school teachers, judges, and local uniformed personnel including police officers and firefighters. Like most public pension plans in the United States, it was grossly underfunded. In 2011, ERSRI had a funding ratio of 59% and held only \$6.3 billion to meet liabilities of \$10.8 billion. Each person in Rhode Island

¹This is based on the case "Saving Public Pensions: Rhode Island Pension Reform," Columbia CaseWorks #120309.